

Ironclad Manufacturing Co.

Annual Report Excerpt

Ironclad Manufacturing Co. designs and manufactures industrial equipment. The company is in the middle of a multi-year transition away from its legacy heavy-machinery product line toward a newer automation and robotics product line, which is growing quickly but has not yet fully offset the decline in the legacy business.

This excerpt covers six fiscal quarters, Q1 2024 through Q2 2025, presented oldest to newest, left to right, across the Consolidated Statement of Operations, a condensed Balance Sheet, revenue by region, and key customer and operational metrics.

Management notes that restructuring charges tied to the wind-down of legacy manufacturing lines, combined with a one-time investment loss, pushed the company to a net loss in Q3 and Q4 2024. The company returned to profitability in Q1 2025 as new product line revenue scaled and cost reductions took effect.

Consolidated Statement of Operations (Unaudited)

All figures in U.S. dollars unless otherwise noted. — denotes no activity in the period.

Total Revenue	3,200,000	3,050,000	2,980,000	2,850,000	2,760,000	2,690,000
Legacy Product Line Revenue	1,800,000	1,600,000	1,400,000	1,150,000	950,000	780,000
New Product Line Revenue	1,400,000	1,450,000	1,580,000	1,700,000	1,810,000	1,910,000
Cost of Goods Sold	1,900,000	1,830,000	1,790,000	1,710,000	1,660,000	1,620,000
Gross Profit	1,300,000	1,220,000	1,190,000	1,140,000	1,100,000	1,070,000
Operating Expenses	1,000,000	980,000	970,000	950,000	930,000	910,000
Restructuring Charges	—	—	180,000	220,000	150,000	90,000
Gain on Sale of Assets	—	—	—	95,000	—	40,000
Loss on Investment	—	—	(45,000)	—	(60,000)	—
Net Income	180,000	95,000	(120,000)	(85,000)	40,000	110,000

Net income turned negative in Q3 2024 and Q4 2024, driven by restructuring charges and a loss on a non-core investment, before returning to profitability in Q1 2025.

Condensed Balance Sheet

Total Assets	5,200,000	5,100,000	4,950,000	4,800,000	4,850,000	4,900,000
Total Liabilities	2,100,000	2,150,000	2,300,000	2,250,000	2,150,000	2,050,000
Cash and Equivalents	850,000	780,000	700,000	650,000	680,000	720,000

Revenue by Region

North America	1,900,000	1,800,000	1,720,000	1,650,000	1,600,000	1,580,000
Europe	900,000	870,000	860,000	820,000	800,000	790,000
Asia Pacific	400,000	380,000	400,000	380,000	360,000	320,000

Revenue declined across all three regions, largely tracking the wind-down of the legacy product line, which was sold more heavily in North America and Europe than in Asia Pacific.

Customer and Operational Metrics

Customer Count	12,400	12,100	11,600	10,900	10,500	10,200
Customer Retention Rate	91	89	86	84	85	86
New Product Line Order Backlog	1,200,000	1,350,000	1,600,000	1,850,000	2,050,000	2,300,000

Customer Retention Rate is shown as an index value, not currency.

Risk Notes

Customer count declined for five consecutive quarters, from 12,400 to 10,200, concentrated among legacy product line accounts as that business was wound down. Retention rate dipped from 91 percent to a low of 84 percent in Q4 2024 before stabilizing as the new product line's account base matured.

Cash and equivalents fell from 850,000 to a low of 650,000 in Q4 2024 while funding restructuring costs, then recovered to 720,000 by Q2 2025 as new product line bookings accelerated and legacy-line wind-down costs tapered off. Management does not expect further material restructuring charges beyond Q2 2025.